

US Telecom Competitive Intensity Update (3Q26) — Draft

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Wireless Market: Restructuring the Front Book, Repricing the Back Book

Q3 2026 saw fewer headline price moves than Q2 but more structural ones. Carriers kept advertised plan prices broadly stable and instead changed what sits underneath them: device financing terms, upgrade eligibility, subsidy structure and plan tiering. T-Mobile relaunched its lineup as "2.0" plans built around 36-month financing, Verizon made its subsidy-free Simplicity plan the centerpiece of its go-to-market, and Charter added a new premium tier to Spectrum Mobile. At the same time, T-Mobile and AT&T continued to raise prices on their existing customer bases, while Verizon has explicitly stopped doing so.

Wireless Plan Pricing Changes

T-Mobile. On August 6, T-Mobile replaced its front-book lineup with "2.0" versions of its plans under its "Nothing" Un-carrier campaign: Essentials Saver 2.0, Essentials 2.0, Experience More 2.0 and Experience Beyond 2.0, alongside a new \$30/month Student Perks line (Exhibit [X]). Headline pricing is largely unchanged versus the prior Experience lineup: Experience More 2.0 remains \$85 for one line and \$170 for four lines, Experience Beyond 2.0 remains \$100 for one line, and Essentials Saver 2.0 is \$50 for one line, now capped at two lines. Existing customers can stay on their current plans.

The real change is in device financing and upgrades. T-Mobile moved its equipment installment plans (EIP) from 24 to 36 months and introduced EIP Flex 36, which lets customers finance the device, sales tax and device connection charges at checkout, so well-qualified buyers pay nothing upfront. Because upgrades still require 50% of the device to be paid off, a 36-month term pushes upgrade eligibility from 12 to 18 months: Experience Beyond 2.0 drops true annual upgrades in favor of an "Early Upgrade" option, and Experience More 2.0 drops its two-year upgrade benefit.

Management frames the change as customer-driven. At Citi's TMT conference, COO Jon Freier said devices last longer, that T-Mobile's upgrade rate is already below peers', and that EIP Flex removes the hundreds of dollars in upfront taxes and fees that deter prime

and near-prime families from switching. At Goldman's Communacopia, CEO Srini Gopalan called the move "very CLV accretive" and added that as device prices rise, more of that cost will be borne by the customer. Freier was explicit that T-Mobile's subsidy investment is not changing. In our view, the 2.0 relaunch is a price increase that does not touch the price: spreading the same subsidy budget over 36 instead of 24 months lowers the monthly cost of each promotion, slows the upgrade cycle and extends the customer's commitment, all while protecting the advertised rate and the 5-Year Price Guarantee.

This fits T-Mobile's broader strategy of prioritizing customer value over volume. Management noted that port-ins carry roughly 20% higher ARPA than port-outs and that premium plans make up a mix in the 60s% of new adds versus the mid-30s% for the base, so the front book already prices above the existing base without a list-price increase. T-Mobile also continued to monetize its back book: it force-migrated legacy Magenta, ONE and Simple Choice customers onto Experience-tier plans starting July 13 (up to \$6/line, about \$4/line on average), which Freier said drove temporary churn reflected in its 250K Q3 postpaid account net add guide, and on September 29 it announced a further \$1/voice line increase to its Regulatory Programs & Telco Recovery Fee on tax-exclusive plans, effective October 12.

Verizon. Simplicity, launched in mid-June, is now Verizon's primary marketed plan and the default offer across its website and advertising, even though myPlan remains on sale. Simplicity is a flat-rate unlimited plan at \$30/line for new customers switching in with AutoPay (an initial promotional rate that was still running through September) and \$45/line for existing customers, with no multi-line discount (Exhibit [X]). It includes unlimited 5G Ultra Wideband data, 720p video, 10GB of hotspot, satellite texting and up to 3% monthly cash back in Verizon Dollars, and customers who opt into the Verizon Loyalty program pay no activation or upgrade fees.

The defining feature is that Simplicity carries no device subsidy. Instead of trade-in promotions, customers can bring their own phone, finance one at retail, or add Simplicity Plus (\$35/month, phones priced \$350-\$830) or Simplicity Pro (\$50/month, phones priced \$830-\$1,200). These work more like a device lease: a monthly bill credit offsets the 36-month device installment, and customers can upgrade once 33% is paid and the old phone is returned. Customers who leave before 36 months owe the remaining device balance. On an iPhone 18 Pro, Simplicity Pro charges \$50/month against a roughly \$33/month installment, a premium of about \$17/month for upgrade flexibility and travel perks.

While Simplicity took the spotlight, Verizon quietly made myPlan more expensive for new customers. Over the quarter it pulled back the promotional discounts that had been running on myPlan since late 2025: single-line pricing rose \$10/month on every tier, to \$65

for Unlimited Welcome (from \$55), \$80 for Unlimited Plus (from \$70) and \$95 for Unlimited Ultimate (from \$85, which already included a \$5 increase in May). At four lines, prices rose about \$2.50/line, to \$27.50, \$42.50 and \$57.50 respectively (Exhibit [X]). Verizon also dropped the 3-year price guarantee for new myPlan activations from June 16, the day Simplicity launched. The effect is to widen the gap between the two lineups: a single line on myPlan now costs \$20-\$50 more than Simplicity's \$45 existing-customer rate, steering one- and two-line customers toward the subsidy-free plan and leaving myPlan as the higher-priced option for multi-line families who want device promotions.

CEO Dan Schulman presented Simplicity as a reset of Verizon's business model. At Goldman's conference he said the plan carries no subsidy yet is ARPA accretive, that cost of acquisition is near three-year lows and cost of retention is down double digits, and that the majority of account net adds are now coming on Simplicity. He expects Verizon to land at the top of its 750K-1M postpaid phone net add guide, with positive phone net accounts in Q3 for the first time in at least three years. Schulman also said he halted price increases on arrival, arguing that three years of hikes without added value had driven churn higher. That commitment appears to apply to existing customers: Verizon took no back-book rate actions in Q3, but the myPlan changes above raised front-book pricing for new customers. Simplicity is targeted at one-to-two-line and youth customers, where Verizon has historically been underpenetrated, while Verizon One addresses higher-value converged households.

Charter. On July 22, Spectrum Mobile launched Unlimited Plus Premium, a new top tier above its existing Unlimited and Unlimited Plus plans (Exhibit [X]). It is priced at \$50/line for multiple lines and \$60 for a single line, with taxes and fees included, and is available only to Spectrum Internet customers. The plan includes 50GB of hotspot, 4K video, an included smartwatch line, 20GB/month of high-speed data in more than 215 countries, and up to \$10/month in device financing credits (up to \$360). Even at the new top tier, Spectrum's premium pricing sits well below the incumbents' premium plans, which run \$85-\$110 for one line before taxes and fees.

Unlimited Plus Premium gives Charter a way to raise mobile ARPU within its existing customer relationships rather than only adding lines at low or free price points. Mobile remains Charter's main lever for reducing broadband churn: management noted that internet customers who also take mobile churn about 40% less, and mobile penetration of internet customers is only about 20% at legacy Spectrum and minimal in the newly acquired Cox footprint. With Cox now closed and the Spectrum brand, pricing and \$1,000

savings guarantee launched across the former Cox markets in September, a richer premium tier adds an up-sell path within the converged bundle that is central to Charter's plan to return to broadband growth.